

raw-material stages of the same industry. This new company gives indication of being one of the lowest-cost integrated titanium producers and as such should play a major role in the probable growth of this young industry. Meanwhile the corporation in 1958 is expected to start its first commercially significant zirconium product and has within its organization considerable know-how in other commercially new “wonder metals” such as tantalum and columbium. This partially owned company gives indications of becoming a world leader in not one but a series of metals that promise to play a growing part in the atomic, chemical, and guided-missile age of tomorrow. As such it could be an asset of tremendous dollar significance to increase the growth that appears inherent in Mallory itself.”

If I were writing these words today, slightly over two years later, I would write them somewhat differently. I would tone down moderately my enthusiasm for the possible contributions of the one-third owned Mallory-Sharon Metals Corporation. I think everything I said two years ago could still occur. However, particularly so far as titanium is concerned, I believe it may take longer to find and develop sizable markets for this metal than had seemed to be the case two years ago.

On the other hand, I would be inclined to strengthen my words for the Mallory company itself by about the degree I would weaken them for its affiliate. The trend I mentioned of increasing management in depth has progressed importantly during this period. While Mallory, as a component supplier to the durable goods industry, is in a line of business that is bound to feel the ravages of any major general slide, the management showed unusual adroitness in adjusting to 1958 conditions and held earnings to \$1.89 per share against the all-time peak of \$2.06 the year before. Earnings came back fast in 1959 and promise to make new records for the full year somewhere around \$2.75 per share. Furthermore these earnings are being established in the face of decreasing but still heavy costs for certain of the newer divisions. This showing gives promise that if general economic conditions remain reasonably prosperous, significant further growth in profits will be seen in 1960.

Mallory stock is one of the few examples cited in this book that to date has done worse rather than better than the market as a whole. Although I